2006

Canada Bread Company, Limited

Annual Report

Canada Bread Company, Limited

Profile

Canada Bread is a leading manufacturer of a variety of value-added and nutritious fresh bakery products, including breads, rolls, bagels, artisan breads, sweet goods, and fresh pasta and sauces. Through its frozen bakery operations, the Company serves retail in-store bakery and foodservice customers across North America. It also operates one of the leading specialty bakeries in the United Kingdom, manufacturing bagels, hand-held snacks, in-store bakery products and croissants.

The Company markets its products under a number of leading brands, including *Dempster's, Olivieri, Olafson's, McGavin's, POM, Bon Matin,* and *Ben's*. Other key brands include *Wholesome Harvest*, a line of premium nutrition frozen bakery products and the *New York Bagel* brand in the United Kingdom.

Canada Bread employs more than 8,200 people in Canada, the United States and the United Kingdom. The Company is 88.0% owned by Maple Leaf Foods Inc. and its common shares are listed on the Toronto Stock Exchange under the symbol CBY.

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Message to Shareholders

In the face of a 10 year high in flour costs and a volatile energy market, Canada Bread delivered another year of earnings growth.

Consumers are reshaping the bakery industry as they continue to seek out healthier grain alternatives. In turn, we are growing our market leadership in the high nutrition whole grain categories through investment and innovation. *Dempster's Smart* white bread, offering the attributes of whole grains in a white bread product, introduced early in 2006, contributed to strong earnings growth in fresh bakery. We are also very proud that consumers recently voted *Dempster's WholeGrains Ancient Grains* bread as the best new product in Canada across all food groups. Top line growth is the next priority in fresh bakery, which will largely result from innovation and expansion into new categories.

Our *Olivieri* fresh pasta and sauce business had a banner year. To support new foodservice and retail growth, we completed a major expansion of our British Columbia plant. We also converted our pasta sauces into an easier to use tub format, resulting in higher sales growth. Going forward, we are looking at opportunities to apply the well-respected *Olivieri* brand to other categories beyond pasta and sauces.

In the U.K., we twice doubled our size through acquisitions and are now one of the largest specialty bakery businesses in the United Kingdom. Our Rotherham plant is operating at high capacity as demand grows for our *New York Bagel* products. In early 2006, we bought Harvestime, expanding our presence in the in-store bakery market, and in November we acquired Avance (U.K.) Ltd. and The French Croissant Company Ltd., the leading producer of premium croissants in the United Kingdom. In 2007, we are integrating these businesses to create a united U.K. bakery organization.

Impacting this momentum, our North American frozen bakery operations struggled with the impact of record high flour costs, increased energy rates and higher warehousing and distribution costs, and some operational challenges at our Roanoke bakery. On the plus side, our team made good strides in consolidating many product lines and increased sales and volumes. In 2007, we will be constructing a new warehouse at Roanoke to reduce high third party costs.

We are making great progress, supported by the efforts of over 8,200 people who are passionate about this business. We continue to benefit from the organizational depth of Maple Leaf Foods, from leadership programs and the rigour of Six Sigma, to executive leadership. And finally, a note of appreciation to our Board of Directors, who continue to bring new ideas, strong governance and different perspectives to the exciting task of growing this great business.



Richard A. Lan
President and
Chief Executive Officer



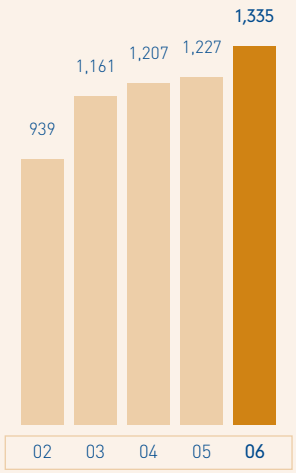
Michael H. McCain
Chairman

Financial Highlights

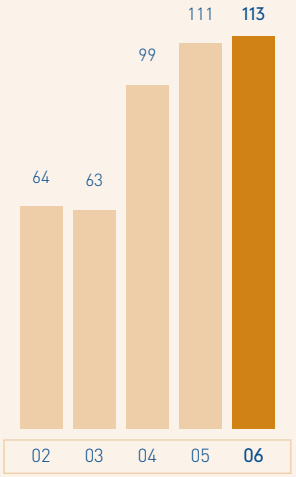
For years ended December 31 (In millions of Canadian dollars except per share information)	**2006**	2005	2004	2003	2002
Consolidated results					
Sales	**1,335**	1,227	1,207	1,161	939
Earnings from operations before restructuring and other related costs	**113**	111	99	63	64
Net earnings	**54**	75	67	36	39
Per share					
Net earnings before restructuring and other related costs and non-recurring U.S. tax adjustment	**3.09**	3.07	2.62	1.61	1.80
Dividends	**0.24**	0.24	0.24	0.24	0.24
Book value[(i)]	**23.15**	21.05	18.75	16.42	13.29
Number of shares (millions)					
Weighted average	**25.4**	25.4	25.4	25.1	21.4
Outstanding at December 31	**25.4**	25.4	25.4	25.4	21.4

(i) Excludes equity component of long-term debt

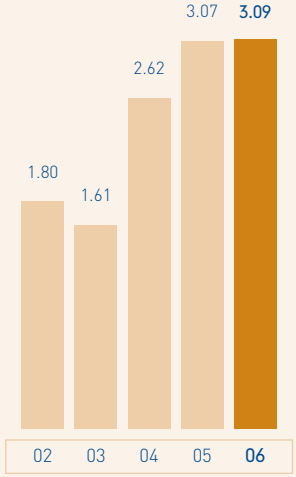
Sales
(millions of dollars)



Earnings from Operations
Before restructuring and other related costs (millions of dollars)



Earnings per Share
Before restructuring and other related costs and non-recurring tax adjustment (dollars)



Management's Discussion & Analysis

The Business

Canada Bread Company, Limited ("Canada Bread" or "the Company"), which is 88.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,200 people at its operations across North America and in the United Kingdom.

Effect of Restructuring and Other Related Costs

Operating earnings, net earnings, and earnings per share ("EPS") comparisons for the year exclude $5.5 million ($3.7 million after tax) of restructuring and other related costs and in 2005 exclude $4.7 million ($3.2 million after tax) of restructuring and other related costs. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of continuing operations.

Selected Financial Highlights

The following is a summary of audited financial information for the three years ended December 31, 2006 (in millions of dollars except per share information):

	2006	2005	2004
Sales	**$ 1,334.9**	$ 1,227.0	$ 1,207.3
Operating earnings before restructuring and other related costs[ii]	**113.4**	111.1	99.0
Net earnings as reported	**53.6**	74.9	66.6
Restructuring and other related costs, net of tax	**3.7**	3.2	–
U.S. tax adjustment	**21.2**	–	–
Net earnings before restructuring and other related costs and U.S. tax adjustment[ii]	**78.5**	78.1	66.6
Total assets	**924.3**	761.4	767.6
Net debt[i]	**40.7**	20.9	82.5
Per share			
Basic EPS	**$ 2.11**	$ 2.95	$ 2.62
Diluted EPS	**$ 2.11**	$ 2.93	$ 2.57
EPS before restructuring and other related costs and non-recurring U.S. tax adjustment[ii]	**$ 3.09**	$ 3.07	$ 2.62
Cash dividends	**$ 0.24**	$ 0.24	$ 0.24

(i) Net of currency swaps
(ii) These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and the non-recurring U.S. tax adjustment are not representative of continuing operations

Results of Operations

The Company performed well in a year of record high wheat prices and volatile energy prices. The fresh bakery operations had another strong year, supported by its brands, innovative market leadership and pricing to offset rising costs. The Company's U.K. bakery is on a solid growth trajectory, benefiting from major investments in additional capacity and acquisitions that have established the Company as a leading specialty bakery in the United Kingdom. The fresh pasta business expanded capacity, new product lines and market reach. The Company's earnings performance was impacted by challenges in the North American frozen bakery business, where price increases lagged rising input costs and the business experienced some operating challenges. The focus in 2007 is on growing the top line through innovation and category expansion, and restoring profitability in the frozen business.

Management's Discussion & Analysis

Sales for the year of $1.3 billion increased 8.8% compared to last year. Adjusting for the impact of acquisitions in the U.K., sales for the year increased by 5.5% as a result of increased sales across all the businesses.

Earnings from operations before restructuring and other related costs for the year increased 2.1% to $113.4 million from $111.1 million last year. Net earnings before restructuring and other related costs of $78.5 million ($3.09 per share) compared to $78.1 million ($3.07 per share) last year. Including restructuring and other related costs, 2006 net earnings were $53.6 million ($2.11 per share).

Operating Segments

The Company's operations are classified into two primary business segments, which have been used for operating segment disclosures for all years presented. Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces. Frozen Bakery includes North American and United Kingdom ("U.K.") frozen bakery products including frozen par-baked and specialty bakery products.

Operating Review

The following table, which forms the basis of discussion in this document of the Company's results of operations, reflects sales and operating earnings by business group before restructuring and other related costs:

Sales

($ millions)	**2006**	Change	2005	Change	2004
Fresh Bakery	**898.8**	5.6%	851.5	1.8%	836.6
Frozen Bakery	**436.1**	16.1%	375.5	1.3%	370.7
	1,334.9	8.8%	1,227.0	1.6%	1,207.3

Earnings from Operations Before Restructuring and Other Related Costs

($ millions)	**2006**	Change	2005	Change	2004
Fresh Bakery	**93.9**	14.5%	82.0	22.0%	67.2
Frozen Bakery	**19.5**	(33.1%)	29.1	(8.5%)	31.8
	113.4	2.1%	111.1	12.2%	99.0

Fresh Bakery

Fresh Bakery sales for the full year were $898.8 million compared to $851.5 million last year. Sales increases were driven by price increases and sales mix improvements that more than offset some volume declines in fresh bread which resulted from overall market softness. Pasta sales were also higher than the prior year.

Earnings from operations before restructuring and other related costs for the year increased 14.5% to $93.9 million from $82.0 million last year. This improvement in operating earnings is a result of improved sales mix, operating improvements, and price increases that took place earlier in the year to cover the significant rise in fuel and wheat costs. The business also benefited from new product innovation, including *Dempster's* and *POM Smart* bread that was launched earlier this year, a white bread product made with a new enriched whole wheat flour that provides the health attributes of whole grain bread. Fresh pasta earnings increased for the year, expanding its whole grain higher nutrition product lines and adding capacity through investment in its manufacturing plant in British Columbia.



Management's Discussion & Analysis

In November 2006, the Company announced the closure of its facility in Langley, British Columbia. This decision to close the bakery was based on the need to improve manufacturing efficiencies in Western Canada and will allow the Company to consolidate manufacturing into existing facilities. The Company expects costs of closure, including severance, decommissioning and asset write-downs, will result in restructuring and other related charges of approximately $7.4 million before tax ($5.0 million after-tax), of which $4.1 million has been recorded in the fourth quarter and the remainder will be recorded when the plant is decommissioned.

Frozen Bakery

Sales for the year increased 16.1% to $436.1 million from $375.5 million last year. A significant portion of this increase reflected the contribution of acquisitions in the U.K. Excluding these acquisitions, sales increased by 5.4% for the year.

Frozen Bakery earnings from operations before restructuring and other related costs for the year decreased by 33.1% to $19.5 million from $29.1 million last year. The North American frozen bakery operations sales and volumes increased, but profitability declined due to record high wheat costs, higher energy and distribution costs, and some operational issues at the Roanoke, Virginia facility. The U.K. bakery operations benefited from the contribution of recent acquisitions and increased production at the new bagel plant in Rotherham, England. Through these investments, the Company now operates one of the largest specialty bakeries in the United Kingdom, with leading market shares in the bagel, croissant and in-store bakery categories.

Other Income

Other income for the year decreased to $0.4 million from $1.9 million in 2005. The decrease was primarily due to reduced gains on fixed asset disposals.

Restructuring and Other Related Costs

During the fourth quarter of 2006, the Company recorded $5.5 million in restructuring and other related costs ($3.7 million after-tax) primarily in respect of the closure of its bakery in Langley, British Columbia and some other lease termination costs. Further restructuring and other related costs estimated at $3.3 million will be recorded when the Langley, B.C. plant is decommissioned.

During the first quarter of 2005, the Company recorded $4.7 million in restructuring and other related costs ($3.2 million after-tax) primarily related to the closure of its bakery in Peterborough, England, and the closure of a pasta manufacturing line due to the termination of a co-packing agreement with Maple Leaf.

Interest Expense

Interest expense was $3.7 million for the year compared to $5.4 million in 2005 principally due to lower debt levels as the Company generated strong free cash flow that was used to pay down debt. The Company's average effective cost of borrowing was approximately 4.0% (2005: 3.4%).

Income Taxes

Income tax expense increased to $51.2 million from $27.9 million in 2005. The substantial increase in taxes was primarily caused by the Company's decision in the third quarter to record a non-recurring tax expense of US$19.2 million ($21.2 million) to write-down future tax assets related to its U.S. frozen bakery business. Although the Company continues to believe that the tax losses incurred to date in the jurisdiction will be utilized, the accumulation of tax losses in recent years and uncertainty as to when these losses will be utilized, triggered an application of accounting rules that required the Company to set up a full valuation allowance against these tax assets. Components of the changes are provided in Note 14 to the Consolidated Financial Statements. As a result, the Company's effective tax rate was 48.9% in 2006 compared to 27.1% in 2005.

Management's Discussion & Analysis

Transactions with Related Parties

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, provision of stock award programs, accounting, investor relations and access to bulk purchasing programs. Furthermore, Maple Leaf also provides other specific services, namely information systems and engineering support. Details of amounts paid in respect of these services are set out in Note 16 to the Consolidated Financial Statements.

The Company purchased 50% of Royal Touch Foods Inc. ("Royal Touch") shares from Maple Leaf for $4.5 million (Note 16). For accounting purposes, this is considered a related party monetary transaction without a substantive change in ownership as Maple Leaf indirectly retains 88.0% ownership interest in Royal Touch. Accordingly, the Company has recorded the investment in Royal Touch at the carrying amount recorded by Maple Leaf. The difference between the carrying amount and the exchange amount is equal to $3.4 million and is recorded as a reduction of retained earnings.

Capital Resources and Liquidity

The bakery industry is generally characterized by high sales volumes and rapid turnover of inventories and accounts receivable. Investment in working capital is also affected to some extent by fluctuations in the prices of raw materials, seasonal and other market-related fluctuations.

Historically, the Company has consistently generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding required for its strategic investing activities.

Cash Flow from Operations

The Company continued to generate strong operating cash flow in 2006 of $106.3 million compared to $115.1 million last year. The decrease was due largely to changes in non-cash working capital.

Capital Expenditures

Capital spending for the year was $48.0 million compared to $54.7 million last year. The largest capital projects in 2006 related to capacity expansion in the Vancouver, B.C. pasta facility and in the U.K. bakery.

Debt Facilities

To provide additional liquidity, the Company and its subsidiaries had aggregate credit facilities (excluding accounts receivable securitization programs) of $293.3 million (2005: $281.9 million), of which $116.6 million (2005: $40.4 million) was utilized (including $9.4 million in respect of letters of credit) at December 31, 2006 (2005: $8.1 million).

The Company has a $250.0 million revolving term facility with Maple Leaf, maturing on December 27, 2008. In 2006, the Company established an operating line of credit of £5.0 million to provide short-term funding for its U.K. operations.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility. At year end, the Company had $70.0 million (2005: $70.0 million) sold pursuant to this facility.

Details of these facilities are described in Note 7 to the Consolidated Financial Statements.

Contractual Obligations

The following table provides payment information as at December 31, 2006 related to certain of the Company's material contractual obligations:

		Payments due by fiscal year					
($ millions)	Total	2007	2008	2009	2010	2011	After 2011
Long-term debt	96.0	9.5	86.5	–	–	–	–
Lease obligations	69.3	16.6	13.7	10.3	7.1	6.3	15.3
Cross-currency swap	(56.4)	–	(56.4)	–	–	–	–
Total contractual obligations	108.9	26.1	43.8	10.3	7.1	6.3	15.3

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program. As at December 31, 2006, the Company was in compliance with all debt covenants. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

Derivatives

Inherent in the bakery business is some exposure to market risks from changes in commodity prices (primarily wheat), interest rates and foreign exchange rates. When considered appropriate, these exposures may be managed by the use of derivative financial instruments, including interest rate swaps, currency contracts, commodity futures and options. Information on the Company's material year end derivative hedge positions is set out in Note 8 to the Consolidated Financial Statements. If the Company had not entered into these contracts, operating earnings for 2006 would have been lower by $0.3 million (2005: $0.6 million) and interest expense would have been higher by $3.4 million (2005: $1.4 million).

Management hedges commodities when it determines that conditions are appropriate to mitigate risks and reduce the risk of loss from adverse changes in commodity prices. The Company attempts to closely match commodity contract terms with the underlying hedged exposure and continually measures the effectiveness of the hedge in place.

The Company enters into interest rate swaps that effectively fix a portion of the interest payment on its interest bearing debt and securitization program. At December 31, 2006, 42.2% (2005: 81.9%) of the Company's exposure to interest rate fluctuations was hedged or fixed. The Company periodically enters into foreign exchange hedges to fix certain of its foreign currency exposure.

All hedging and derivative activity is in accordance with risk management policies that specify both the type of allowed derivatives, maximum trading exposures and the definition of allowable hedge activity.

During 2006, there were no material derivative gains or losses related to hedge ineffectiveness and no hedges were discontinued in 2006 as a result of it becoming probable that a forecasted transaction would not occur.

In general, the Company holds derivative contracts to maturity as they are matched with the underlying commodity, interest rate or foreign exchange exposure. The financial impact, should the Company terminate and settle these arrangements, is disclosed in Note 8 to the Consolidated Financial Statements. There are no other obligations or liabilities under these arrangements that may require further funding by the Company.

Management's Discussion & Analysis

Share Capital and Dividends

During 2006 and 2005, the Company declared an aggregate yearly dividend of $0.24 per common share. This represents aggregate dividend payments of $6.1 million in each of 2006 and 2005.

As of February 15, 2006, there were 25,416,812 common shares of the Company issued and outstanding.

Environment

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the Company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Environment, Health and Safety Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. There can be no assurance, however, that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

Risk Factors

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this report. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems. The Company's facilities are subject to audit by federal health agencies in Canada and similar institutions outside of Canada, and performs its own audits to ensure compliance with its internal standards, which are generally at or higher than regulatory agency standards. However, the Company cannot guarantee that compliance with procedures and regulations will necessarily mitigate the risks related to food safety.

Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to currencies (primarily U.S. dollars) other than the Canadian dollar. Due to the diversity of the Company's operations, normal fluctuations in these other currencies have relatively small impacts on the Company's profitability due to (a) "natural hedges" or offsetting currency exposure (for example, when revenues and costs are both linked to other currencies) or (b) an ability to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company.

However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs. The Company's earnings related to the U.K. may also be affected, adversely or favourably, by foreign currency translation.

Commodity

The Company is a purchaser of certain commodities, such as wheat and natural gas, in the course of normal operations. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the price it charges to its customers.

Regulation and Legal Matters

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates including the Canadian Food Inspection Agency. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain material compliance with all laws and regulations and maintains all material permits and licences relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations or that it will be able to comply with such laws and regulations in the future. Failure by the Company to comply with applicable laws and regulations could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues or food ingredients, food safety and market and environmental regulation that, if adopted, may increase the Company's costs. If any of these or other proposals are enacted, the Company could experience a disruption in supply and may be unable to pass on the cost increases to its customers without incurring volume loss as a result of higher prices.

In the normal course of its operations, the Company becomes involved in various legal actions. The Company believes that the resolution of these claims will not have a material effect on the Company. However, the final outcome with respect to actions outstanding or pending or with respect to future claims cannot be predicted with certainty, and therefore there can be no assurance that their resolution will not have a material adverse effect on the Company's financial position or results of operations.

Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages, and negative publicity to the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites or to other matters or sites will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs.

In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of wastes which are or may be considered hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material effect on the Company's financial results and financial condition.

Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Leverage

The terms of the Company's credit facilities and the terms of any debt securities, if issued, include covenants which could limit the Company's operating and financial flexibility. The Company's ability to make scheduled payments of principal or interest, or refinancing of, its indebtedness depends on its future business performance, which is subject to economic, financial, competitive and other factors beyond its control. Any failure by the Company to satisfy its obligations with respect to its indebtedness at maturity or prior thereto would constitute a default under such indebtedness and could cause a default under the agreements governing other indebtedness, if any, of the Company.

Employment Matters

The Company and its subsidiaries have approximately 8,200 full and part-time employees, which includes salaried and union employees, many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each of which with differing employment laws and practices and differing liabilities for punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have an adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations.

Critical Accounting Estimates

The preparation of the Company's consolidated financial statements requires management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with management's understanding of current facts and circumstances. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require a significant or complex judgment on the part of management.

Management's Discussion & Analysis

The following is a summary of certain accounting estimates or policies considered critical by the management of the Company.

Goodwill Valuation

Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the fair value of a reporting unit has been impaired. In performing this test, the Company assesses the value of goodwill of its various reporting units. In testing goodwill for impairment in the second quarter of 2006, it was noted that no impairment in the value of goodwill had occurred.

Reserve for Bad Debts

The Company establishes an appropriate provision for non-collectible or doubtful accounts. Estimates of recoverable amounts are based on management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial condition.

Provisions for Inventory

Management makes estimates as to the future customer demand for our products when establishing the appropriate provisions for inventory. In making these estimates we consider the life of the product, the profitability of recent sales of the inventory, and changes in the customer mix.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts, which includes payments upon attainment of certain sales volumes. Significant estimates used to determine these liabilities include the level of customer performance and the historical promotional expenditure rate versus contracted rates.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance 7.5%, salary escalation 3.5%, retirement ages of employees and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities.

A 1% change in health care cost trend would not have a significant impact on the year end obligation or the 2006 current service and interest costs.

Taxes

The provision for income taxes is based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgment is required in determining income tax provisions and in evaluating tax positions. The Company establishes additional provisions for income taxes when, despite the belief that existing tax positions are fully supportable, there remain certain tax positions that may be reviewed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances. The tax provision includes the impact of changes to accruals that are considered appropriate.

Management's Discussion & Analysis

Restructuring and Other Related Costs Reserves

The Company evaluates accruals related to restructuring and other related costs at each reporting date to ensure that these accruals are still appropriate. In certain instances, management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring and other related activities. In certain circumstances, management may determine that certain accruals are insufficient as new events occur or as additional information is obtained.

Change in Accounting Policies

Sales Classification

On January 1, 2006, the Company retroactively adopted the guidance presented in Emerging Issues Committee ("EIC") Abstract 156 "Accounting by a Vendor for Consideration Given to a Customer including a Reseller of the Vendor's Products". The EIC requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive an identifiable benefit in exchange for the consideration. The adoption of this standard resulted in a restatement of sales in prior periods. The impact of the adoption of this standard was a reduction in sales during fiscal 2006 of approximately $131.0 million (2005: $119.5 million). This accounting change had no impact on operating earnings, net earnings or earnings per share.

Recent Accounting Pronouncements

Capital Disclosures

In October 2006, the Canadian Accounting Standards Board issued Section 1535 "Capital Disclosures" ("Section 1535") which requires entities to disclose qualitative information about their objectives, policies and process for managing capital. This standard is effective for fiscal periods beginning on or after October 1, 2007. The Company has not yet determined the impact this standard will have on its disclosures.

Financial Instruments

In 2005, the Canadian Accounting Standards Board issued three new standards effective for fiscal year ends beginning after October 1, 2006; CICA Handbook Section 1530 "Comprehensive Income" ("Section 1530"), Section 3855 "Financial Instruments – Recognition and Measurement" ("Section 3855"), and Section 3865 "Hedges" ("Section 3865"). The Company will adopt these standards effective January 1, 2007.

Section 1530 requires that companies present comprehensive income and its components, as well as net income, in their financial statements. Comprehensive income is the change in equity during a period resulting from transactions and other events from non-owner sources. It includes all changes in equity during a period except those resulting from investments by owners and distributions to owners.

Section 3855 requires that all financial assets be classified as held for trading, held-to-maturity, available for sale held-to-maturity or loans and all financial liabilities as held for trading or as other liabilities. All derivative instruments, including any embedded derivatives that are required to be separated from the host instruments, must be classified as held for trading. Financial assets and liabilities classified as held for trading are measured at fair value with gains and losses during the period recognized in net income in the periods in which they arise. Financial assets classified as available-for-sale are measured at fair value with gains and losses recognized in other comprehensive income until the underlying financial asset is derecognized or becomes impaired. Held-to-maturity investments, loans and receivables and other liabilities are measured at amortized cost. Gains or losses on financial assets and liabilities carried at amortized cost are recognized in net income when the financial asset or financial liability is derecognized or impaired.

Section 3865 establishes standards for when and how hedge accounting may be applied. The standard requires that hedges be designated as either fair value hedges, cash flow hedges or hedges of a net investment in a self-sustaining operation. For a fair value hedge, the gain or loss on the hedging item is recognized in earnings in the period together with the offsetting change on the hedged item attributable to the hedged risk. For a cash flow hedge, as well as a hedge of a net investment in a self-sustaining operation, the effective portion of the unrealized gain or loss on the hedging item is reported in other comprehensive income and subsequently recognized in earnings when the hedged item affects earnings.

The impact of the Company's adoption of Sections 1530, 3855 and 3865 is expected to be as follows:

- Other Comprehensive Income will be reported in the Shareholder's Equity section to show unrealized gains and losses that are not included in GAAP income.
- On an ongoing basis, any non-equity accounted investments will need be carried at fair value rather than historical cost. The Company does not expect the impact of this requirement to be significant to its financial statements.
- All hedging activities will be set up on the balance sheet with the offset flowing through the Other Comprehensive Income. The Company has determined that the adoption of Handbook Section 3865 will not cause any significant changes in its overall risk management strategy and in its overall hedging activities.
- Instruments that meet the definition of a derivative that are embedded in non-derivative contracts will be separated where the economic characteristics and risks of the embedded instrument are not closely related to those of the host, and where the combined instrument is not measured at fair value. The Company has reviewed its significant outstanding contracts, and has determined that there are no significant embedded derivative features requiring separate recognition as at December 31, 2006.
- The Company is currently evaluating the impact these standards will have on its results of operations and financial position.

Disclosure Controls and Internal Controls over Financial Reporting

The Company's disclosure controls and procedures were designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is made known to management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation. The Company's management, under the direction and supervision of the Chief Executive Officer and Chief Financial Officer, has evaluated the effectiveness of the Company's disclosure controls and procedures as at December 31, 2006, and has concluded that such disclosure controls and procedures are effective.

The Company's management, under the direction and supervision of the Chief Executive Officer and Chief Financial Officer, are also responsible for establishing and maintaining internal control over financial reporting. These controls were designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with Canadian GAAP. There have been no changes in the Company's internal control over financial reporting during the quarter ended December 31, 2006 that have materially affected, or are reasonably likely to materially affect its internal control over financial reporting.

Management's Discussion & Analysis

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the eight interim periods ended December 31, 2006 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2006**	**$301,564**	**$335,545**	**$342,344**	**$355,479**	**$1,334,932**
	2005[1]	289,376	314,280	314,518	308,831	1,227,005
Net earnings	**2006**	**19,397**	**22,880**	**(2,715)**	**13,988**	**53,550**
	2005	11,885	21,262	23,038	18,737	74,922
Net earnings before restructuring and other related costs and non-recurring tax adjustment	**2006**	**19,397**	**22,880**	**18,503**	**17,711**	**78,491**
	2005	15,104	21,262	23,038	18,737	78,141
Earnings per share						
Basic	**2006**	**$ 0.76**	**$ 0.90**	**$ (0.11)**	**$ 0.55**	**2.11**
	2005	0.47	0.84	0.91	0.74	2.95
Basic before restructuring and other related costs and non-recurring tax adjustment	**2006**	**0.76**	**0.90**	**0.73**	**0.70**	**3.09**
	2005	0.59	0.84	0.91	0.74	3.07
Diluted	**2006**	**0.76**	**0.90**	**(0.11)**	**0.55**	**2.11**
	2005	0.47	0.83	0.90	0.74	2.93

(1) Restated in accordance with Note 2 to the Consolidated Financial Statements

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Forward-Looking Statements

This document contains and the Company's oral and written public communications often contain forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "will," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or

forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of appreciation of the Canadian dollar versus the United States dollar; the availability and prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; operating efficiencies; access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; and actions of domestic and foreign governments. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts.

Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have, its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements include, among other things:

- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to the creditworthiness of customers to whom the Company extends credit;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the impact of international events on commodity prices and the free flow of goods;
- the risks posed by compliance with extensive government regulation and legal claims;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with a consolidating retail environment;
- the risks associated with the Company's outstanding indebtedness;
- the risks associated with animal disease and human health; and
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements.

The Company cautions you that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" on page 8 of this document. You should review such section in detail. Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

February 20, 2007

Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The Consolidated Financial Statements and related information in the annual report are the responsibility of management. The Consolidated Financial Statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgment and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the Consolidated Financial Statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's Consolidated Financial Statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the Consolidated Financial Statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



Richard A. Lan
President and
Chief Executive Officer
February 20, 2007



Michael H. Vels
Chief Financial Officer

Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2006 and 2005 and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2006 and 2005 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



Chartered Accountants
Toronto, Canada
February 20, 2007

Consolidated Balance Sheets

As at December 31 (In thousands of Canadian dollars)	2006	2005
Assets		
Current Assets:		
Cash and cash equivalents	$ –	$ 11,382
Accounts receivable (Note 3)	57,272	22,070
Inventories (Note 4)	46,081	35,955
Future tax asset - current (Note 14)	5,873	5,327
Prepaid expenses	3,576	2,142
	$ 112,802	$ 76,876
Property and equipment (Note 5)	374,647	353,669
Goodwill	372,980	314,949
Other long-term assets (Note 6)	58,115	1,252
Future tax asset - non-current (Note 14)	403	8,669
Other intangibles	5,321	5,948
	$ 924,268	$ 761,363
Liabilities and Shareholders' Equity		
Current Liabilities:		
Bank indebtedness	$ 1,130	$ –
Accounts payable and accrued charges	169,134	136,385
Due to Maple Leaf Foods Inc. (Note 16)	9,336	4,736
Dividends payable	1,525	1,525
Income and other taxes payable	23,336	22,624
Current portion of long-term debt (Note 7)	9,494	226
	$ 213,955	$ 165,496
Long-term debt (Note 7)	86,471	32,083
Future tax liability (Note 14)	29,611	23,303
Other long-term liabilities (Note 9)	5,787	5,749
Shareholders' equity (Note 10)	588,444	534,732
	$ 924,268	$ 761,363

Contingencies and commitments (Note 18)
See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board



Richard A. Lan
Director



William E. Aziz
Director

Consolidated Statements of Earnings

Years ended December 31 (In thousands of Canadian dollars, except share amounts)	2006	2005
Sales (Note 2(m))	**$ 1,334,932**	$ 1,227,005
Earnings from operations before restructuring and other related costs	**$ 113,410**	$ 111,072
Restructuring and other related costs (Note 11)	**(5,484)**	(4,723)
Earnings from operations	**107,926**	106,349
Other income (Note 12)	**432**	1,868
Earnings before interest and income taxes	**108,358**	108,217
Interest expense (Note 13)	**3,656**	5,386
Earnings before income taxes	**104,702**	102,831
Income taxes (Note 14)	**51,152**	27,909
Net earnings	**$ 53,550**	$ 74,922
Earnings per share – basic (Note 19)	**$ 2.11**	$ 2.95
Earnings per share – diluted (Note 19)	**$ 2.11**	$ 2.93
Weighted average number of shares (millions)	**25.4**	25.4

Consolidated Statements of Retained Earnings

Years ended December 31 (In thousands of Canadian dollars)	2006	2005
Retained earnings, beginning of year	**$ 406,649**	$ 337,827
Net earnings	**53,550**	74,922
Dividends declared ($0.24 per share; 2005: $0.24 per share)	**(6,100)**	(6,100)
Inter-company aquisitions (Note 16)	**(3,366)**	–
Retained earnings, end of year	**$ 450,733**	$ 406,649

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

Years ended December 31 (In thousands of Canadian dollars)	2006	2005 As restated (Note 2(n))
Cash Provided By (Used In):		
Operating Activities		
Net earnings	**$ 53,550**	$ 74,922
Add (deduct) items not affecting cash:		
Depreciation and amortization	**45,010**	44,351
Future income taxes	**14,028**	(1,814)
Gain on sale of property and equipment	**(330)**	(1,695)
Other	**(1,652)**	(428)
Change in restructuring and other related costs (Note 11)	**3,527**	647
Change in non-cash operating working capital	**(7,791)**	(889)
	106,342	115,094
Financing Activities		
Dividends paid	**(6,100)**	(6,100)
Increase in long-term debt	**15,871**	38,300
Decrease in long-term debt	**(8,565)**	(92,539)
	1,206	(60,339)
Investing Activities		
Additions to property and equipment	**(47,998)**	(54,730)
Proceeds from sale of property and equipment	**1,744**	2,237
Purchase of net assets of business, net of cash acquired (Note 17)	**(73,841)**	–
Change in intangible assets	**35**	(192)
	(120,060)	(52,685)
Increase/(decrease) in cash and cash equivalents	**(12,512)**	2,070
Cash and cash equivalents, beginning of year	**11,382**	9,312
Cash and cash equivalents (bank indebtedness), end of year	**$ (1,130)**	$ 11,382
Supplemental cash flow information:		
Net interest paid	**$ 3,811**	$ 5,890
Net income taxes paid	**40,914**	33,176

See accompanying Notes to the Consolidated Financial Statements

Notes to Consolidated Financial Statements

Years ended December 31, 2006 and 2005
(Tabular amounts in thousands of Canadian dollars, except share amounts)

1. The Company

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 88.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. Significant Accounting Policies

The following are the significant accounting policies of the Company.

(a) Principles of consolidation

The consolidated financial statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Investments in equity securities of entities over which the Company does not exert significant influence are accounted for using the cost method.

(b) Use of estimates

The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimates. Estimates are used when accounting for items and matters such as allowances for uncollectible accounts, sales of receivables, inventory obsolescence, depreciation and amortization, asset valuations, impairment assessments, employee benefits, pensions, taxes and any corresponding valuation allowances, restructuring and other provisions and contingencies.

(c) Translation of foreign currencies

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries, whose unit of measure is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average exchange rates for the period for revenue and expenses. Exchange gains or losses on translation of foreign subsidiaries are included in the unrealized foreign currency adjustment account in shareholders' equity until realized.

(d) Hedging arrangements

The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The Company uses hedge accounting for its significant derivative transactions.

The Company formally documents all relationships between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedged transactions. This process includes assigning all derivatives to specific assets and liabilities on the balance sheet or to specific firm commitments or anticipated transactions. The Company formally assesses, using regression analysis, both at the inception of the hedge and on a quarterly basis, whether the derivatives that are used in hedging transactions are effective in offsetting the changes in the fair values or the cash flows of hedged items.

The Company uses currency forward contracts and options to hedge its exposures to transactions denominated in foreign currencies. The Company also uses options to hedge its exposures to commodity-based transactions (wheat and grains). When the criteria for hedge accounting are met, the gains and losses on the currency and/or commodity hedging instruments are recognized in the consolidated financial statements in the same period as the

underlying transaction is recorded in net earnings. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively. When the criteria for hedge accounting are not met, the Company records the fair value of the hedging items as other liabilities or assets on the balance sheet. Any resulting gains or losses are recorded in operating earnings. Where the Company enters into forward exchange contracts to hedge the principal and/or interest on related debt payable in foreign currencies, unrealized losses or gains on such contracts are matched with exchange gains or losses on the debt and/or interest payable.

The Company enters into interest rate swaps to reduce the impact of fluctuating interest rates on short-term and long-term debt. The Company designates its interest swaps relating to debt as hedges of the underlying debt. Interest expense on the debt is adjusted to include the payments made or received on the interest rate swaps. The related amount payable to or receivable from counterparties is included as an adjustment to accrued interest.

The Company designates its cross-currency swaps as a hedge of its net investment in its U.S. based businesses. Any exchange gain or loss on its cross-currency swaps is offset against the unrealized exchange gain or loss arising on translation of the related U.S. dollar currency denominated financial statements of these businesses and is included in the unrealized foreign currency adjustment account in shareholders' equity. The liability for the foreign exchange component of the swap is included in other liabilities.

Realized and unrealized gains or losses associated with derivative instruments that have been terminated or cease to be effective prior to maturity are recorded as deferred liabilities or assets on the balance sheet and recognized in income in the period in which the underlying hedged transaction is recognized. In the event the designated hedged item is sold, extinguished or matures prior to the termination of the related derivative instrument, any unrealized gain or loss on such derivative instrument is recognized immediately in income.

(e) Revenue recognition

The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as a reduction of revenue. Sales incentives include various rebate and promotional programs with the Company's customers, primarily rebates based on achievement of specified volume or growth in volume levels.

(f) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(g) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

Buildings	2.5% to 6%
Machinery and equipment	10% to 33%

Notes to Consolidated Financial Statements

(h) Deferred financing costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and are included in interest expense for the year.

(i) Goodwill and other intangibles

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to the identifiable tangible and intangible assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands and delivery routes. Definite life intangibles are amortized over their estimated useful life. Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the fair value of the reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value.

(j) Income taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date.

(k) Employee benefit plans

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the market value of assets and all gains and losses due to changes in plan provisions are amortized on a straight-line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(l) Statement of cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(m) Accounting changes

Effective January 1, 2006, the Company retroactively adopted, with restatement of prior periods, the guidance presented in Emerging Issues Committee ("EIC") Abstract 156 "Accounting by a Vendor for Consideration Given to a Customer including a Reseller of the Vendor's Products". The EIC requires vendors to classify certain

consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive an identifiable benefit in exchange for the consideration. The impact of the adoption of this standard was a reduction in sales for the year of approximately $131.0 million (2005: $119.5 million). This accounting change had no impact on operating earnings, net earnings or earnings per share.

(n) Comparative figures

Certain 2005 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2006.

3. Accounts Receivable

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains limited recourse obligations for delinquent receivables. At December 31, 2006, trade accounts receivable being serviced under this program amounted to $70.0 million (2005: $70.0 million).

4. Inventories

	2006	2005
Material held for production	**$ 27,579**	$ 25,104
Finished products	**18,502**	10,851
	$ 46,081	$ 35,955

5. Property and Equipment

	2006	2005
Land	**$ 24,531**	$ 24,914
Buildings	**152,173**	133,257
Machinery and equipment	**468,265**	415,362
Construction in progress	**30,273**	40,096
	675,242	613,629
Less: Accumulated depreciation	**300,595**	259,960
	$ 374,647	$ 353,669

6. Other Long-term Assets

	2006	2005
Swap receivable from Maple Leaf (Note 7(a))	**$ 56,434**	$ –
Other assets	**1,681**	1,252
	$ 58,115	$ 1,252

7. Long-term Debt

	2006	2005
Due to Maple Leaf (a)	**$ 86,623**	$ 32,029
Other (b)	**9,130**	–
Obligations under capital leases	**212**	280
	95,965	32,309
Less: Current portion	**9,494**	226
	$ 86,471	$ 32,083

Notes to Consolidated Financial Statements

(a) Canada Bread has a $250 million revolving debt facility with Maple Leaf to provide liquidity for general corporate purposes, repayable on December 27, 2008. The facility bears interest based on bankers' acceptance rates for Canadian dollar loans and Libor for U.S. dollar and British pound loans.

Effective September 30, 2006, the Company changed its financial statement presentation prospectively to disclose long-term debt to Maple Leaf separately from the long-term swap receivable from Maple Leaf (Note 6) because it is no longer certain that the remaining debt and foreign currency swap will be settled simultaneously. Had the prior period been presented on this basis, the impact would be an increase in total assets and total liabilities of $56.4 million as at December 31, 2005.

Net interest paid to Maple Leaf under these facilities was $0.8 million in 2006 (2005: $2.9 million).

(b) In 2006, the Company established an operating line of credit of £5.0 million ($11.4 million) to provide short-term funding for its U.K. operations. The facility has interest based on Libor rates. As of December 31, 2006, £4.0 million ($9.1 million) was outstanding.

(c) The Company has demand operating facilities of $31.9 million (2005: $31.9 million), including letter of credit facilities of $10.0 million, which bear interest at short-term rates. At December 31, 2006, $20.8 million (2005: $8.4 million) was utilized under these facilities of which $9.4 million was in respect of letters of credit (2005: $8.1 million).

The Company's blended average effective cost of borrowing for 2006 was approximately 4.0% (2005: 3.4%), after adjusting for the impact of hedges (see Note 8).

Required repayments of long-term debt are as follows:

2007	$	9,494
2008		86,471
Thereafter		–
	$	95,965

8. Derivative Financial Instruments and Risk Management

In the ordinary course of business, the Company has entered into derivative financial instruments with Maple Leaf as its counterparty to reduce underlying risks associated with foreign currency and interest rates.

Foreign currency risk management

The Company uses foreign currency forward contracts and options to manage its currency exposures. The currency exposure relates primarily to U.S. dollar-denominated export sales and U.S. dollar linked commodities, primarily flour and energy costs.

At December 31, 2006, the Company had net commitments to sell US$4.7 million (2005 net commitments to buy: US$0.6 million) at an average rate of 1.14 (2005: 1.21). At that date, if the Company had decided to terminate these commitments at prevailing market rates, it would have incurred a loss of $0.1 million (2005: loss of $0.1 million).

Interest rate risk management

The Company uses interest rate swaps to manage its exposure to interest rate fluctuations. At December 31, 2006, the Company had entered into interest rate swap contracts with Maple Leaf, having an aggregate notional amount of $70.0 million (2005: $130.0 million) and maturity dates ranging from June 28, 2011 to June 28, 2014. The fixed rates payable by the Company under these contracts range from 5.0% to 5.4%. The floating rates are based on three-month bankers' acceptance rates.

Based on market values at December 31, 2006, the Company would have realized a loss of $3.6 million (2005: loss of $4.5 million) if it terminated the above-noted swap agreements.

In 2003, the Company entered into a five year cross-currency swap with Maple Leaf to hedge U.S. dollar-denominated assets. This swap requires Canada Bread to pay interest of 3.48% per annum on US$140.0 million and receive interest of 4.45% per annum on CAD$219.6 million. Based on market values as at December 31, 2006, the Company would have realized a gain of $59.8 million if it terminated the above-noted swap agreement. Since this instrument was designated to hedge the currency translation on the Company's U.S. dollar-denominated assets, the portion of the gain related to currency translation ($56.4 million) has been recorded in the cumulative translation account. This amount has also been included in other long-term assets (Note 6).

Commodity price risk management

The Company uses a variety of third party derivative instruments to manage its exposure to commodity price fluctuations. Based on market values at December 31, 2006, the Company would have realized a gain of $0.4 million (2005: gain of $2.0 million) to terminate these outstanding contracts.

Fair values of financial assets and liabilities

Fair values of cash and cash equivalents, accounts receivable, accounts payable, and the current portion of long-term debt approximate their carrying values due to their short-term nature. The fair value of long-term indebtedness pursuant to the Company's facilities approximates its carrying value as it bears interest at floating rates.

9. Other Long-term Liabilities

	2006	2005
Post-retirement benefit liability (Note 15)	**$ 3,034**	$ 3,231
Other	**2,753**	2,518
	$ 5,787	$ 5,749

10. Shareholders' Equity

Shareholders' equity consists of the following:

	2006	2005
Share capital (25,416,812 common shares (2005: 25,416,812 common shares))	**$ 142,965**	$ 142,965
Retained earnings	**450,733**	406,649
Unrealized foreign currency adjustment	**(5,254)**	(14,882)
	$ 588,444	$ 534,732

Notes to Consolidated Financial Statements

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at December 31, 2006 there were no issued and outstanding preference shares.

11. Restructuring and Other Related Costs

During the fourth quarter of 2006, the Company recorded restructuring and other related costs of $5.5 million ($3.7 million after-tax). These costs related primarily to the closure of a fresh bakery plant in British Columbia. The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in the fourth quarter of 2006 as well as the related liability as at December 31, 2006.

	Severance	Site closing	Asset impairment	Total
2006 Restructuring and other related costs				
Charges during fourth quarter	$ 2,525	$ 1,428	$ 1,531	$ 5,484
Cash draw-downs	–	(67)	–	(67)
Non-cash items	–	–	(1,531)	(1,531)
Balance at December 31, 2006	$ 2,525	$ 1,361	$ –	$ 3,886

During the first quarter of 2005, the Company recorded $4.7 million in restructuring and other related costs ($3.2 million after-tax), relating primarily to the closure of its bakery in Peterborough, England and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf. Included in the $4.7 million were provisions of $1.4 million relating to employee terminations, facility exit costs and other restructuring costs. Of the $1.4 million in provisions, $0.4 million was paid in 2006.

	Asset write-offs	Other	Total
2005 Restructuring and other related costs			
Charges during the first quarter	$ 3,348	$ 1,375	$ 4,723
Usage	(3,348)	(728)	(4,076)
Balance at December 31, 2005	$ –	$ 647	$ 647
Usage	–	(359)	(359)
Balance at December 31, 2006	$ –	$ 288	$ 288

12. Other Income

	2006	2005
Gain on sale of property and equipment	**$ 330**	$ 1,695
Other	**102**	173
	$ 432	$ 1,868

13. Interest Expense (Income)

	2006	2005
Interest expense on securitized receivables (Note 3)	**$ 3,170**	$ 2,240
Interest expense on long-term debt	**803**	3,452
Other net interest income	**(317)**	(306)
	$ 3,656	$ 5,386

14. Income Taxes

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

	2006	2005
Income tax expense according to combined statutory rate of 33.6% (2005: 33.8%)	**$ 35,153**	$ 34,770
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	**(735)**	(862)
Rate difference in foreign jurisdictions	**(4,510)**	(3,897)
Non-taxable gains	**(69)**	204
Large corporations tax	**–**	66
Valuation allowance – U.S. tax losses	**21,434**	–
Future tax rate changes	**(1,348)**	–
Other	**1,227**	(2,372)
	$ 51,152	$ 27,909

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2006	2005
Future tax assets:		
Accrued assets	**$ 2,524**	$ 2,112
Loss carry forward	**21,434**	20,504
Valuation allowance	**(21,434)**	–
Other	**3,150**	3,515
	$ 5,674	$ 26,131
Future tax liabilities:		
Plant and equipment - differences in net book value and undepreciated capital cost	**$ 27,318**	$ 27,731
Other	**1,691**	7,707
	$ 29,009	$ 35,438
Classified in the consolidated financial statements as:		
Future tax asset - current	**$ 5,873**	$ 5,327
Future tax asset - non-current	**403**	8,669
Future tax liability - non-current	**(29,611)**	(23,303)
Net future tax liability	**$ (23,335)**	$ (9,307)

In accordance with CICA Handbook section 3465, "Accounting for Income Taxes", the Company reviews all available positive and negative evidence to evaluate the recoverability of future tax assets. This includes a review of the Company's cumulative losses in recent years, the carry forward period related to the tax losses and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company's accumulated tax losses in the U.S. frozen bakery business, there is now sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, in the third quarter the Company recorded a valuation allowance of US$19.2 million ($21.2 million) against the full amount of the related net future tax asset related to tax losses in the U.S.

Notes to Consolidated Financial Statements

15. Pensions and Other Post-retirement Benefits

Information about the Company's defined benefit plans as at December 31 is as follows:

	2006	2005
Accrued benefit obligation:		
Balance, beginning of year	**$ 124,099**	$ 108,856
Current service cost	**3,931**	2,982
Interest cost	**6,242**	6,253
Benefits paid	**(8,372)**	(7,355)
Actuarial losses	**4,246**	12,427
Employee contributions	**987**	936
Balance, end of year	**$ 131,133**	$ 124,099
Plan assets:		
Fair value, beginning of year	**$ 101,032**	$ 93,397
Actual return on plan assets	**11,966**	12,173
Employer contributions	**3,836**	1,881
Employee contributions	**987**	936
Benefits paid	**(8,372)**	(7,355)
Fair value, end of year	**$ 109,449**	$ 101,032
Funded status - plan deficit	**$ (21,684)**	$ (23,067)
Unamortized transitional amount	**(6,669)**	(7,447)
Unamortized actuarial losses	**28,419**	29,849
Unamortized prior service cost	**931**	1,025
Accrued benefit asset	**$ 997**	$ 360

The accrued benefit asset is included in other long-term assets on the balance sheet.

The pension assets are invested in the following asset categories at December 31, 2006 and December 31, 2005.

	2006	2005
Equity securities	**61%**	72%
Debt securities	**39%**	28%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

	2006	2005
Discount rate used to calculate net benefit plan expense	**5.00%**	5.75%
Discount rate used to calculate year end accrued benefit obligation	**5.00%**	5.00%
Expected long-term rate of return on plan assets	**7.50%**	7.50%
Rate of compensation increase	**3.50%**	4.00%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2006	2005
Current service cost - defined contribution plans	**$ 7,237**	$ 6,832
Current service cost - defined benefit plans	**3,931**	2,982
Interest cost	**6,242**	6,253
Actual return on plan assets	**(11,966)**	(12,173)
Difference between actual and expected return on assets	**4,521**	5,325
Actuarial loss recognized	**4,246**	12,427
Difference between actual and recognized actuarial gains (losses) in the year	**(3,091)**	(11,555)
Amortization of transitional obligation	**(778)**	(778)
Amortization of prior service cost	**96**	96
Net benefit plan expense	**$ 10,438**	$ 9,409

A 1% change in health care cost trend would not have significant impact on the year end obligation or the 2006 current service cost and interest costs.

Measurement dates for defined benefit plan obligations and expense:

2006 Expense	December 31, 2005
Balance Sheet	December 31, 2006

In addition, the Company has accrued and included in other long-term liabilities $3.0 million (2005: $3.2 million) in respect of post-retirement benefit obligations.

16. Related Party Transactions

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, provision of stock awards program, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $8.3 million (2005: $8.2 million) to Maple Leaf.

The Company received certain information system services from Maple Leaf for a cost of $6.9 million (2005: $5.7 million).

The Company received certain engineering services from Maple Leaf for a cost of $0.8 million (2005: $1.2 million).

The Company purchased 50% of Royal Touch Foods Inc. ("Royal Touch") shares from Maple Leaf for $4.5 million (Note 17(b)). For accounting purposes, this is considered a related party monetary transaction without a substantive change in ownership as Maple Leaf indirectly retains an 88.0% interest in Royal Touch. Accordingly, the Company has recorded the investment in Royal Touch at the carrying amount recorded by Maple Leaf. The difference between the carrying amount and the purchase price amount is equal to $3.4 million and is recorded as a reduction of retained earnings.

Notes to Consolidated Financial Statements

17. Acquisitions

(a) On November 27, 2006, the Company purchased The French Croissant Company Ltd. ("FCC") and Avance (U.K.) Limited ("Avance"), two related bakeries in the U.K. for total consideration of £29.1 million ($63.9 million). FCC markets croissants and specialty goods across the U.K., and Avance is a leading supplier of fresh, frozen and long-life specialty bakery items. The Company has not yet finalized the purchase equation for these acquisitions.

(b) On October 2, 2006, the Company acquired the shares of Royal Touch, a pre-packaged sandwich supplier based in Etobicoke, Ontario, for $7.9 million, net of estimated cash acquired of $0.8 million. The Company purchased 50% of the Royal Touch shares from Maple Leaf and acquired the remaining shares from an unrelated third party for the same price. The purchase price is subject to an adjustment based on the net assets of Royal Touch as at the acquisition date. As at December 31, 2006 the purchase price adjustment has not yet been determined.

(c) On March 24, 2006 the Company acquired the assets and operations of Harvestime Limited ("Harvestime"), a bakery in Walsall, England for £1.0 million ($2.0 million). Harvestime is a producer of par-baked breads, rolls and specialty bakery products. As at December 31, 2006, the Company has finalized the purchase price allocation and goodwill of $0.7 million resulting from the transaction has been included in the total assets of the Frozen Bakery segment.

	Harvestime	Royal Touch	FCC/ Avance	**2006 Total**
Cash acquired	$ –	$ 812	$ –	**$ 812**
Non-cash working capital	76	822	(862)	**36**
Property and equipment	1,168	574	14,293	**16,035**
Non-current future tax liability	–	(44)	–	**(44)**
Goodwill	716	3,220	50,512	**54,448**
Retained earnings (Note 16)	–	3,366	–	**3,366**
Total purchase price	$ 1,960	$ 8,750	$ 63,943	**$ 74,653**

The following table provides details of the activity in the restructuring liabilities accrued in the purchase equation of businesses previously acquired:

	Employee termination costs	Other exit costs	Total
Balance at December 31, 2004	$ 972	$ 4,266	$ 5,238
Returned to goodwill	–	(500)	(500)
Cash payments	(9)	(819)	(828)
Transferred	(22)	–	(22)
Balance at December 31, 2005	$ 941	$ 2,947	$ 3,888
Cash payments	–	(275)	(275)
Returned to goodwill	(310)	(1,774)	(2,084)
Balance at December 31, 2006	$ 631	$ 898	$ 1,529

18. Contingencies and Commitments

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $11.9 million (2005: $12.3 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2007	$ 16,589
2008	13,773
2009	10,302
2010	7,093
2011	6,272
Thereafter	15,316
	$ 69,345

19. Earnings Per Share

The following table sets forth the calculation of basic and diluted earnings per share:

	2006	2005
Numerator:		
Earnings available to common shareholders – basic	**$ 53,550**	$ 74,922
Interest on convertible debt	**–**	398
Earnings available to common shareholders – diluted	**$ 53,550**	$ 75,320
Denominator:		
Weighted average common shares outstanding – basic (in thousands)	**25,417**	25,417
Effect of dilutive securities (in thousands) – convertible debt	**–**	326
Weighted average common shares outstanding – diluted (in thousands)	**25,417**	25,743

	2006	2005
Earnings per share:		
Basic	**$ 2.11**	$ 2.95
Diluted	**2.11**	2.93

Notes to Consolidated Financial Statements

20. Segmented Financial Information

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	2006	2005
Sales to customers (Note 2(m))		
Fresh Bakery	**$ 898,797**	$ 851,476
Frozen Bakery	**436,135**	375,529
	$ 1,334,932	$ 1,227,005
Earnings from operations, before restructuring and other related costs		
Fresh Bakery	**$ 93,928**	$ 81,965
Frozen Bakery	**19,482**	29,107
	$ 113,410	$ 111,072
Capital expenditures		
Fresh Bakery	**$ 36,109**	$ 29,814
Frozen Bakery	**11,889**	24,916
	$ 47,998	$ 54,730
Depreciation and amortization		
Fresh Bakery	**$ 23,286**	$ 22,907
Frozen Bakery	**21,724**	21,444
	$ 45,010	$ 44,351
Total assets (Note 2(n))		
Fresh Bakery	**$ 378,311**	$ 362,488
Frozen Bakery	**529,360**	375,079
Non-allocated assets	**16,597**	23,796
	$ 924,268	$ 761,363
Goodwill		
Fresh Bakery	**$ 128,251**	$ 129,066
Frozen Bakery	**244,729**	185,883
	$ 372,980	$ 314,949

Corporate Information

Directors
Michael H. McCain
Chairman of the Board

Richard A. Lan
President and Chief Executive Officer

William E. Aziz
John L. Bragg O.C.
Sarah A. Everett
G. Wallace F. McCain O.C.
J. Scott McCain
John F. Petch

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Stock Exchange Listing and Stock Symbol
The Company's common shares are listed on The Toronto Stock Exchange and trade under the symbol "CBY".

Company Information
For public and investor relations inquiries, please call 416-926-2000.

Copies of the Company's annual and interim reports, Annual Information Form and other disclosure documents filed with regulatory authorities are available from the Corporate Secretary upon request. Please contact: 416-926-2000.

Annual Meeting
The Annual Meeting of the Shareholders of Canada Bread Company, Limited will be held at the Albany Club, 91 King Street East, Toronto, Ontario on Wednesday, May 2, 2007 at 2:30 p.m.

Auditors
KPMG LLP

Registrar and Transfer Agent
Computershare Investor Services Inc.

Shareholder Information
Inquiries regarding dividends, change of address, transfer requirements or lost certificates should be directed to the Company's transfer agent:
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